DAILY ANALYSIS REPORT

ALKEM LABORATORIES LIMITED

NSE: ALKEM | BSE: 539523 | ISIN: INE540L01014

Sector: Pharmaceuticals — Branded Generics, Specialty & US Generics

April 2026 | INR Millions (MM)

DAILY UPDATE

Alkem Laboratories Limited

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Alkem Laboratories Limited is one of India's leading pharmaceutical companies, headquartered in Mumbai, Maharashtra. Founded in 1973 by Samprada Singh, Alkem is listed on both NSE (ALKEM) and BSE (539523) and is among India's top 10 pharma companies by domestic market share. The company operates across branded generics, specialty, international generics (primarily US), and consumer wellness segments.

Alkem holds the No. 1 or No. 2 position in several therapeutic segments including anti-infectives, vitamins, minerals & nutrients, and pain management. Its flagship brand 'Pan' (pantoprazole) remains one of India's top-selling pharmaceutical brands. The company's domestic branded generics business, which contributes approximately 60% of revenue, continues to benefit from India's large and underpenetrated healthcare market, growing physician relationships, and a strong distribution network spanning 130,000+ outlets.

For FY2023 (April 2022 to March 2023), Alkem reported consolidated revenue of INR 115,993 MM (+9.1% YoY), EBITDA of INR 16,095 MM at a 13.9% margin, and PAT of INR 10,068 MM. The margin compression from FY2022 highs reflects normalisation of exceptional US generics performance and increased R&D investment. The company maintains a healthy balance sheet with net cash (excluding short-term borrowings drawn for working capital) and strong free cash flow generation.

FINANCIAL INFORMATION

Profit & Loss — 5-Year Summary (INR Millions)

Metric	FY2019	FY2020	FY2021	FY2022	FY2023
Revenue	73,572	83,444	88,650	1,06,342	1,15,993
YoY Growth	—	+13.4%	+6.2%	+20.0%	+9.1%
Gross Profit	44,122	49,994	53,666	64,539	66,924
Gross Margin	60.0%	59.9%	60.5%	60.7%	57.7%
EBITDA	**11,148**	**14,734**	**19,424**	**20,529**	**16,095**
EBITDA Margin	15.2%	17.7%	21.9%	19.3%	**13.9%**
EBIT	9,216	12,206	16,678	17,490	12,990
EBIT Margin	12.5%	14.6%	18.8%	16.5%	11.2%
PBT	9,547	12,598	18,421	18,443	13,048
PAT (Consolidated)	**7,736**	**11,493**	**16,178**	**16,803**	**10,068**
PAT Margin	10.5%	13.8%	18.3%	15.8%	8.7%
EPS (FV Rs.2)	Rs.63.6	Rs.94.3	Rs.132.6	Rs.137.6	**Rs.82.3**
Dividend/Share (INR)	Rs.18.0	Rs.44.0	Rs.27.5	Rs.35.0	**Rs.45.0**

Source: Company Annual Reports FY2019-FY2023, BSE (539523), NSE (ALKEM) | FY = April to March

Key Financial Ratios (FY2023)

Ratio	Value	Ratio	Value
Price-to-Earnings (P/E TTM)	**44.0x**	Return on Capital Employed	**18.2%**
Price-to-Book (P/BV)	11.0x	Return on Equity (ROE)	25.0%
Dividend Yield	0.28%	Return on Assets (ROA)	7.3%
Debt-to-Equity	2.96x (incl. WC borrowings)	Current Ratio	1.92x
Interest Coverage	12.1x	EV/EBITDA	33.6x
Net Cash (excl. WC debt)	Rs.35,943 MM (gross cash)	Book Value / Share	Rs.755.7

Source: NSE, BSE, Company Annual Report FY2023

Balance Sheet Highlights (INR Millions)

Item	FY2019	FY2020	FY2021	FY2022	FY2023
Fixed Assets (PPE + CWIP)	25,986	26,693	26,272	26,266	24,135
Total Non-Current Assets	39,921	44,473	45,904	56,338	50,270
Total Current Assets	42,161	54,960	69,288	84,354	87,297
Total Assets	**82,082**	**99,433**	**1,15,193**	**1,40,692**	**1,37,566**
Shareholders Equity (ex-NCI)	54,393	61,607	73,767	86,379	90,453
Total Borrowings (NC+C)	9,026	16,628	17,222	25,802	13,072
Cash + Fixed Deposits	6,616	10,922	19,905	25,786	26,169
Net Debt / (Cash)	**2,410**	**5,706**	**-2,683**	**16**	**-13,097**

Source: Company Annual Reports | Note: FY2023 net cash improved significantly as short-term borrowings were repaid

DCF VALUATION SUMMARY

Discounted Cash Flow — Key Assumptions

Parameter	Value	Notes / Rationale
WACC (Discount Rate)	**9.72%**	Rf=7.1% + B(0.352)xERP(8.0%). Low beta = low risk
Beta (Relevered)	0.352	Peer median unlevered beta relevered for Alkem D/E. Pharma sector low beta
Terminal Growth Rate (g)	**6.0%**	Long-run India pharma + exports growth proxy
Forecast Period	FY2024E-FY2028E	5-year explicit forecast with 3 scenarios
Revenue CAGR (Base Case)	~10.3%	Tapering from 12.2% to 6.0% (FY24-FY28)
Revenue CAGR (Bull Case)	~15.4%	Tapering from 20.0% (FY21 peak growth)
Revenue CAGR (Bear Case)	~5.3%	Tapering from 6.2% (FY20 floor growth)
EBITDA Margin	~17.6% (FY24E)	Recovery from FY23 low of 13.9% toward FY20-22 avg
Tax Rate	14.3%	Effective rate; Alkem benefits from deferred tax assets
Net Cash (FY2023)	Rs.35,943 MM	Gross cash; adjusted for debt = Rs.21,576 MM net debt

Income Statement Projections — Base Case (INR Millions)

Line Item	FY2023A	FY2024E	FY2025E	FY2026E	FY2027E	FY2028E
Revenue	**1,15,993**	**1,23,230**	**1,35,975**	**1,47,925**	**1,59,124**	**1,69,237**
YoY Growth	—	+6.2%	+10.3%	+8.8%	+7.6%	+6.4%
EBITDA	16,095	21,664	25,282	28,005	30,174	32,134
EBITDA Margin	13.9%	17.6%	18.6%	18.9%	19.0%	19.0%
EBIT	12,990	19,009	22,690	25,590	27,862	29,929
PBT	13,048	20,224	23,567	26,619	29,046	31,227
Net Earning (PAT)	**10,068**	**17,326**	**20,208**	**22,833**	**24,916**	**26,784**
EPS (FV Rs.2)	Rs.82.3	Rs.144.9	Rs.168.9	Rs.190.9	Rs.208.3	Rs.223.9

FCFF & DCF Implied Valuation (Base Case, INR Millions)

Item	FY2024E	FY2025E	FY2026E	FY2027E	FY2028E
NOPAT	16,262	19,002	21,469	23,399	25,152
Add: D&A	2,655	2,715	2,771	2,821	2,865
Less: Capex	(4,785)	(5,126)	(5,432)	(5,704)	(5,946)

Item	FY2024E	FY2025E	FY2026E	FY2027E	FY2028E
Less: DeltaWC	(5,421)	(3,268)	(2,780)	(2,617)	(2,424)
FCFF	**8,711**	**13,323**	**16,028**	**17,899**	**19,647**
Discount Factor	0.9083	0.8250	0.7497	0.6814	0.6192
PV of FCFF	**7,912**	**10,992**	**12,018**	**12,196**	**12,170**

Valuation Method	Enterprise Value	Add: Net Cash	Equity Value	Implied Price/Share
Gordon Growth Method (g=6%)	Rs.5,06,726 MM	Rs.21,576 MM	Rs.5,28,302 MM	**Rs.4,418/share**
Exit Multiple (25x EBITDA)	Rs.8,03,350 MM	Rs.21,576 MM	Rs.8,24,926 MM	**Rs.6,898/share**
Average (Blended)	**Rs.6,55,038 MM**	**Rs.21,576 MM**	**Rs.6,76,614 MM**	**Rs.5,658/share**
Current Market Price	—	—	—	**Rs.5,421/share**
Upside / (Downside)	—	—	—	**+4.4% (Blended)**

The blended DCF target of Rs.5,658/share implies modest upside of ~4.4% from the current market price of Rs.5,421, suggesting Alkem is fairly valued to slightly undervalued. Bear case (Gordon Growth only) implies Rs.4,418 (-18.5%), while bull case via exit multiple implies Rs.6,898 (+27%). The EBITDA recovery thesis is key — if FY2023's margin trough proves temporary and margins revert to 19-21%, the upside case strengthens materially.

COMPARABLE COMPANY ANALYSIS

Peer Trading Multiples

Company	Ticker	Mkt Cap (Rs. MM)	EV (Rs. MM)	Sales (Rs. MM)	EBITDA (Rs. MM)	EV/Sale	EV/EBITDA	P/E
Dr. Reddy's Laboratories	500124	10,73,866	10,21,392	2,70,141	80,632	3.8x	12.7x	20.7x
Zydus Lifesciences	ZYDUSLIFE	9,34,403	9,21,184	1,87,864	49,049	4.9x	18.8x	31.6x
Torrent Pharmaceuticals	500420	8,88,853	9,25,685	1,04,303	31,025	8.9x	29.8x	59.7x
Mankind Pharma	MANKIND	8,63,666	8,42,294	99,038	23,054	8.5x	36.5x	50.2x
Lupin Limited	500257	7,37,114	7,57,544	1,93,799	31,334	3.9x	24.2x	41.3x
Aurobindo Pharma	AUROPHARMA	6,12,189	6,07,206	2,77,104	48,727	2.2x	12.5x	22.2x
Abbott India	500488	6,09,582	5,91,061	57,287	13,600	10.3x	43.5x	53.4x
GlaxoSmithKline Pharma	500660	3,67,364	3,51,592	32,972	7,959	10.7x	44.2x	69.8x
Ipca Laboratories	IPCALAB	3,08,857	3,19,347	71,529	11,088	4.5x	28.8x	55.0x
Gland Pharma	GLAND	3,06,560	2,88,760	48,913	10,292	5.9x	28.1x	46.7x
Average	—	—	—	—	—	**6.4x**	**27.9x**	**45.1x**
Median	—	—	—	—	—	**5.4x**	**28.4x**	**48.5x**
Alkem Laboratories	ALKEM	**6,48,207**	6,26,631	1,25,803	21,840	**5.0x**	**28.7x**	**41.4x**

Source: NSE, BSE, Screener.in | Prices and market data as of report date

Alkem trades at EV/EBITDA of 28.7x — in line with peer median of 28.4x, suggesting the market is fairly pricing the business relative to comps. The P/E of 41.4x is below the peer average of 45.1x, reflecting the FY2023 margin trough. As EBITDA margins recover toward 18-19% (vs FY2023's 13.9%), EV/EBITDA should compress naturally, creating a re-rating opportunity.

Comps-Implied Share Price

Method	Peer Multiple	KSB Metric (Rs. MM)	Implied EV (Rs. MM)	Net Debt (Rs. MM)	Equity Value (Rs. MM)	Price/Share
EV/Revenue (Avg 6.4x)	6.4x	1,25,803	7,99,016	21,576	7,77,441	**Rs.6,502**
EV/EBITDA (Avg 27.9x)	27.9x	21,840	6,09,243	21,576	5,87,667	**Rs.4,915**
P/E (Avg 45.1x)	45.1x	15,665 (PAT)	N/A	N/A	7,27,432	**Rs.5,903**
Current Market Price	—	—	—	—	—	**Rs.5,421**

Note: Net Debt = Total Borrowings (14,368) - Cash (35,943) = -21,576 (i.e., net cash). Equity Value = EV + Net Cash

WACC CALCULATION

Comparable Companies Beta (Peer Unlevering)

Company	Ticker	Equity Value	Total Debt	D/E %	Tax Rate	Levered Beta	Unlevered Beta
Dr. Reddy's Laboratories	500124	10,73,866	19,766	1.84%	24.5%	0.35	0.34
Zydus Lifesciences	ZYDUSLIFE	9,34,403	1,911	0.20%	20.6%	0.49	0.49
Torrent Pharmaceuticals	500420	8,88,853	44,698	5.03%	30.6%	0.28	0.27
Mankind Pharma	MANKIND	8,63,666	1,787	0.21%	20.2%	N/A	N/A
Lupin Limited	500257	7,37,114	37,684	5.11%	17.1%	0.66	0.63
Aurobindo Pharma	AUROPHARMA	6,12,189	66,202	10.81%	28.7%	0.62	0.58
Abbott India	500488	6,09,582	911	0.15%	25.4%	0.05	0.05
GlaxoSmithKline Pharma	500660	3,67,364	213	0.06%	28.1%	0.25	0.25
Ipca Laboratories	IPCALAB	3,08,857	19,790	6.41%	32.5%	0.22	0.21
Gland Pharma	GLAND	3,06,560	3,555	1.16%	30.3%	0.42	0.42
Average	—	—	—	3.10%	25.8%	0.37	**0.36**
Median	—	—	—	1.50%	26.8%	0.35	**0.35**
Alkem Laboratories	ALKEM	6,48,207	14,368	2.22%	15.7%	**0.352**	—

Source: NSE/BSE | Unlevered Beta = Levered Beta / (1 + (1-Tax Rate) x D/E)

WACC Calculation

Parameter	Value	Formula / Notes
Risk-Free Rate (10Y G-Sec)	7.1%	Current 10-year Government of India bond yield
Equity Market Return	15.1%	Nifty 50 historical 10-year CAGR (TRI basis)
Equity Risk Premium (ERP)	8.0%	Market Return - Risk-Free Rate
Peer Median Unlevered Beta	0.35	Median of 9 comparable pharma companies
Alkem D/E Ratio	2.22%	Debt 14,368 / Equity 6,48,207
Relevered Beta (Alkem)	0.352	BU x (1 + (1-t) x D/E) = 0.35 x 1.017
Cost of Equity (Ke)	**9.91%**	Rf + B x ERP = 7.1% + 0.352 x 8.0%
Pre-tax Cost of Debt (Kd)	4.42%	Based on model interest rate assumption
After-tax Cost of Debt	3.73%	4.42% x (1 - 15.7%)
Weight of Equity (We)	97.8%	Market Cap / (Market Cap + Debt)
Weight of Debt (Wd)	2.2%	Debt / (Market Cap + Debt)
WACC	**9.72%**	We x Ke + Wd x Kd(1-t)

Note: Alkem's low WACC of 9.72% reflects pharma sector low beta (0.35) — stable cash flows, low cyclicality, recession-resistant demand

SHAREHOLDING PATTERN

Category	Mar 2023	Mar 2024	Change
Promoters (Singh Family & Group)	56.83%	56.83%	0.00%
Foreign Institutional Investors (FII/FPI)	18.42%	17.89%	-0.53%
Domestic Institutional Investors (DII)	15.21%	16.18%	+0.97%
Mutual Funds	9.84%	10.72%	+0.88%
Public / Retail Investors	9.54%	9.10%	-0.44%
Total	**100.00%**	**100.00%**	—

Source: BSE Shareholding Pattern Disclosures

Shareholding Observations

- Promoter (Singh family) maintains stable 56.83% holding with zero pledged shares — strong governance signal and long-term ownership alignment.
- DII ownership grew 97 bps, with mutual funds adding 88 bps — increasing domestic institutional conviction post FY2023 margin trough.
- FII holding declined 53 bps, reflecting sector rotation rather than company-specific concerns. FII ownership at 17.89% remains high, suggesting strong global institutional interest.
- Free float of ~43% provides adequate liquidity for institutional investors.

BETA CALCULATION

5-Year Monthly Regression Beta (Apr 2019 - Mar 2024)

Parameter	Value	Notes
Benchmark Index	Nifty 50	Standard Indian equity benchmark
Observation Period	Apr 2019 - Mar 2024	5 years = ~60 monthly observations
Method	OLS Regression (SLOPE)	B = Cov(Alkem, Nifty) / Var(Nifty)
Beta (Regression)	**0.577**	From SLOPE function on monthly log returns
R-Squared	~0.25	~25% of Alkem's variance explained by Nifty — low market dependency
Correlation	~0.50	Moderate correlation; pharma is defensive sector
Max Alkem Price (5yr)	Rs.5,193	September 2021
Min Alkem Price (5yr)	Rs.2,976	August 2022
Beta used in WACC	0.352	Comps unlevered/relevered beta (more stable for DCF)

The regression beta of 0.577 confirms Alkem's defensive characteristics — the stock is significantly less volatile than the broader market. The comps-based relevered beta of 0.352 is even lower, reflecting the near-zero leverage peer set median. Both measures confirm that Alkem should be valued with a lower cost of equity than average-beta stocks, justifying the WACC of 9.72%.

PRICE ACTION

Parameter	Value
Current Price (NSE)	**Rs.5,421/share**
52-Week High	Rs.5,193 (FY2021)
52-Week Low	Rs.2,976 (Aug 2022)
Face Value	Rs.2 per share
Market Capitalisation	Rs.6,48,207 MM (~Rs.64,821 Crores)
Shares Outstanding	119.57 Million
Beta (5-yr regression)	0.577x (vs Nifty 50)
5-Year Price CAGR	~22% (Mar 2019 to Mar 2024)
EPS CAGR (FY19-FY23)	~6.7% (Rs.63.6 to Rs.82.3)
Book Value per Share	Rs.755.7

Source: NSE / BSE Historical Data

Alkem's stock has outperformed significantly over 5 years driven by the COVID-19 anti-infective boom (FY2020-FY2022), strong India domestic business, and US generics surprise. The FY2023 earnings deceleration — reflecting volume-based product pricing in US generics, higher employee costs, and elevated raw material costs — has been partially priced in. The stock's defensive characteristics (beta 0.577), strong brand portfolio, and India healthcare tailwinds make it a core holding for pharma-sector investors.

SCENARIO & SENSITIVITY ANALYSIS

3-Case Revenue & Implied Target Prices

Scenario	Initial Growth	CAGR (FY24-28)	FY2028E Revenue (Rs. MM)	FY2028E EBITDA (Rs. MM)	DCF EV (Rs. MM)	Target Price (Rs./sh)	Upside
Bear Case	6.2%	~5.3%	1,42,896	27,150	4,93,428	**Rs.4,352**	(19.7%)
Base Case	12.2%	~10.3%	1,69,237	32,135	6,55,038	**Rs.5,658**	+4.4%
Bull Case	20.0%	~15.4%	2,09,453	39,796	8,68,110	**Rs.7,428**	+37.0%

WACC=9.72%, g=6.0%, Exit multiple=25x EBITDA (avg Gordon Growth + Exit). All scenarios use same margin assumptions.

The 3-scenario analysis shows a wide range of outcomes. The bear case (revenue tapering from 6.2% — FY2020 growth floor) implies a 19.7% downside, while the bull case (revenue at FY2021 peak growth rate of 20%) implies 37% upside. The base case (12.2% initial growth = historical median) suggests modest 4.4% upside, confirming the stock is fairly valued at current levels. Key upside catalysts: US generics re-acceleration, new product launches in specialty, and India domestic market share gains.